Marvell Technology, Inc. (MRVL): Buy

Analyst: Justin Wen

The premier AI networking pure-play at a discount to its own plan. At $228, the market prices in 36% CAGR versus management's 55-60% implied target. Our DCF sees $387 base case, 70% upside.

BUY	$387	$227.83	+69.9%
RATING	BASE TARGET	SPOT (10/16)	UPSIDE TO BASE

Buy	$387	$228	+69.7%	$242 / $507	10.0%
RATING	BASE TARGET	SPOT (OCT 16, 2026)	UPSIDE TO BASE	BEAR / BULL TARGETS	LIVE WACC (AVG)

$200B	36.6%	$12B	1.50
MARKET CAP	Q2 NON-GAAP OP MARGIN	FY2027 REVENUE GUIDE	BETA (NORMALIZED)

Executive summary

We initiate coverage of Marvell Technology with a **Buy** rating. Marvell is the premier pure-play on AI data center networking, holding a duopoly with Broadcom in PAM4 optical DSPs and rapidly scaling a custom ASIC business for hyperscalers.

At its October 6 Investor Day, management guided FY2027 revenue to $12B (up 47%), FY2028 to $20B (up 67%), and set a FY2031 target of $70-90B. Twenty-one analysts raised price targets; JPMorgan went to $360, RBC to $425.

Our six-year DCF (FY2027-2032) models $12B to $80B revenue (midpoint of the $70-90B target), with EBIT margins expanding from 32% to 38%. Using live CAPM (1.50 normalized beta, 5.1% 10-year, 3.7% ERP), we get 10.0% average WACC and a $387 base-case target, 69.7% above spot.

The key insight: at $228, the market implies 36.2% revenue CAGR, well below our 46% base case and the company's 55-60% implied target. The market is underpricing Marvell's own plan.

> **Our read:** This is the most asymmetric setup in our semiconductor coverage. The Investor Day guidance is unprecedented in scale and specificity, backed by 21 analyst raises. At $228, you are paying for 36% growth while the company guides to 55-60%. Even our bear case ($242) is above spot.

Base-case assumptions

INPUT	BEAR	BASE	BULL
FY2031 revenue ($B)	55	**80**	95
Revenue CAGR (6-yr)	38%	**46%**	52%
Terminal EBIT margin	34%	**38%**	42%
Terminal growth	4.0%	**4.0%**	4.0%

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Target per share ($)	$242	**$387**	$507

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Bull case: $507 AI ACCELERATION

Bear case: $242 AI DIGESTION

Verdict

What would change our mind

- **Design loss:** loss of a major hyperscaler custom ASIC socket to Broadcom.
- **AI capex pause:** hyperscaler capex cuts would impair the 2028-2030 trajectory.
- **Execution miss:** two consecutive quarters missing the $12B FY27 pace.

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Key themes

1. Custom ASIC inflection ACCELERATING

Design wins at AWS, Google, Microsoft entering production. Second source to Broadcom.

2. Optical DSP duopoly STABLE

PAM4 DSPs for 800G/1.6T. 60%+ gross margins, pricing power.

3. Investor Day guidance ACCELERATING

$12B FY27, $20B FY28, $70-90B FY31. 21 analysts raised targets.

4. Data center mix ACCELERATING

79% of revenue, up 46% YoY. AI networking driving growth.

5. Operating leverage ACCELERATING

36.6% op margin in Q2, guiding to 38-40% by Q4.

Other KPIs

METRIC	VALUE
Market cap (at $228)	$200B
Enterprise value	$201B
Q2 FY27 revenue / YoY	$2.74B / +37%
Data center revenue	79% of total (+46% YoY)
Q2 non-GAAP EPS	$0.94 (+40% YoY)
Q2 non-GAAP op margin	36.6%
Net debt	$1.4B

Guidance

Q3 FY2027: Revenue ~$3.15B (+50% YoY). **FY2027:** $12B revenue. **FY2028:** $20B revenue. **FY2031:** $70-90B target (Investor Day, Oct 6, 2026).

Reverse DCF: what the market is pricing in

At $228, Marvell carries a $200B market cap. Running the model's six-year framework in reverse, the market-implied revenue CAGR is **36.2%**, below our 46% base case and the company's 55-60% implied target. The market is conservative relative to the plan.

SCENARIO	2029 REVENUE	TARGET
Market-implied	~36.2% CAGR	**$228 (spot)**
Bull case	52% CAGR	**$507**
Base case	46% CAGR	**$387**
Bear case	38% CAGR	**$242**

Model

Full three-scenario DCF with live CAPM and implied-ERP tab:
https://docs.google.com/spreadsheets/d/1sfhaMfFuIGYl7EhW8TpSYd3rJwayJgT1WgzStLXo4Vo/edit

Risks to our BUY

- Execution risk on $70-90B FY31 target.
- Customer concentration in hyperscalers.
- Broadcom competition in custom ASICs.
- Semiconductor cyclicality and high beta.

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